

Principles of Accounting –MDC-semester III -Non commerce students

Unit II

- 1. Explain various Subsidiary books.**
- 2. Write about simple cash book**
- 3. Write about Double column cash book**
- 4. Write about Triple column cash book**
- 5. Write about Analytical petty cash book**

1. Explain various Subsidiary books.

In big business units having a large number of transactions it is practically impossible to write all transactions in one journal. If numerous transactions are recorded in one journal it will be inconvenient and it causes delay in collecting information required. Therefore, the journal is subdivided into many subsidiary books. Each one of the subsidiary books is a special journal and a book of original entry. There are no journal entries when records are made in these books. The subsidiary books are

- 1. Cash Book:** It is used only for recording cash transactions. i.e. cash receipts and cash payments.
- 2. Sales Book:** It is meant for recording of all transactions relating to credit sale of goods.
- 3. Purchases Book:** This book is used for recording goods purchased on credit.
- 4. Sales Returns Book:** Sometimes goods which have been sold on credit are returned by customers because they are defective or some other reason. Such sales returns are recorded in the Sales Returns Book. It is also called "Returns Inwards Book".
- 5. Purchase Returns Book:** It is meant for recording all returns of goods purchased on credit. It is also known as "Returns Outwards Book".
- 6. Bills Receivable Book:** It is used for recording bills receivable. The details regarding bills receivable are given in this book.
- 7. Bills Payable Book:** The bills accepted by the firm are known as bills payable. All bills payable are recorded in this book.
- 8. Journal Proper:** The transactions which are not recorded in any of the above mentioned subsidiary books are recorded in Journal proper. It includes adjusting entries, rectification entries, opening entries and closing entries.

2. Write about simple cash book

Cash Book is one of the subsidiary books. It is a book to record all the transactions relating to the receipts and payments of cash. It is the most important book among all the Books of Original Record, because it serves journal as well as Ledger.

Simple Cash Book (single column cash book): It is a Book to record all the cash receipts and payments. All cash Receipts are entered on the debit side of the Book and all cash payments are entered on the credit side of the Book, Cash Book will be closed in the same way as that of any other Ledger Account. It will always show a debit balance as payments cannot be more than the receipts. The difference between the debit and credit total will be ascertained and would be taken on the credit side of the Cash Book as "By balance c/d" for balancing the two sides and after the books are totalled, the difference will be taken on the debit side as "To Balance b/d"

(Dr.) Receipts				Simple Cash Book		Payments (Cr.)	
Date	Particulars	LF	Amount	Date	Particulars	LF	Amount

3. Write about Double column cash book

In Two Column Cash Book, one additional column would be made on each side of the Cash Book for recording the discount allowed on the debit side and the discount received on the credit side. When a transaction involving the amounts paid by the customers to whom discount is allowed takes place, both these facts of receiving the amount and discount allowed will be entered in the Cash Book on the debit side. Discount allowed is a loss and therefore, recorded on the debit side of the Cash Book by debiting the Discount Account.

When the trader makes payment to the supplier and receives a discount, then, both these aspects of the transaction i.e. payment and discount received will be entered on the credit side of the Cash Book. Discount received is a gain and therefore, recorded on the credit side of the Cash Book by crediting the Discount Account. Discount Columns would be only totalled and not balanced. A separate Discount Account would be opened and the total of the Discount Allowed and Discount Received would be posted to the Discount Account. Cash column is balanced as a simple cash book.

(Dr.) Receipts Two column Cash Book Payments (Cr.)

Date	Particulars	L F	D/ A	Amount	Date	Particulars	L F	D/ A	Amount

4. Write about Triple column cash book

In the Three Column Cash Book, a separate column on both the sides will be made for entering the Bank transactions along with the Cash and Discount Columns. On the debit

side of the Cash Book, there would be three amount columns, viz., Discount, Cash and Bank and on the credit side also three columns would be made representing the same with the exception that the discount allowed on the debit side and discount received on the credit side. . Discount Columns would be only totalled and not balanced. Cash column and Bank column are balanced as ledger.

Dr. Receipts

Three column Cash Book

Payments Cr.

Date	Particulars	L F	D/A	cash	Bank	Date	Particulars	L F	D/R	cash	Bank

Under this three column cash book contra entry will appear. An entry which comes both sides of the account or statement is called contra entry. Here in this cash book contra entry will appear in the following cases:

1. Cash deposited in to Bank
2. Withdrew cash from Bank or withdrawn cash for office use cash and
3. Cheque received from customer deposited on another day

The word 'C' would be written in the Ledger Folio column on each side, indicating that the contra effect of that transaction is appearing in the same book on the opposite side.

5. Write about Analytical petty cash book

Generally business units deposit cash receipts into banks and make all payments by cheques. But there are certain payments which cannot be conveniently made by cheques i.e Petty expenses like city bus charge, Rickshaw charge, octroi, coolie, postage, telegram etc. cannot be paid by issuing cheques. They are recorded in a separate cash book called 'Petty Cash Book'.

Generally this cash book is prepared under imprest system i.e advance system. Under this system, the petty cashier is given a certain sum of money at the beginning of every month to cover petty expenses for the month. At the end of the month the petty cashier submits the account of the amount spent during the period i.e., month, and the cashier gives him cash equal to the amount spent by him during the month, so that petty cashier begins the next month with the fixed amount of float.

In the case of Analytical Petty Cash Book a separate column is provided for each item of Petty expense, in addition to a total column. The last column is for recording "Miscellaneous" expenses. The expenses which do not fall under main heads are recorded in this column.

UNIT III

1. Write about Trading Account
2. Write about Manufacturing Account
3. Write about Profit and Loss Account
4. Write about Balance sheet
5. Adjusting entries and Closing entries.

1. Write about Trading Account

Trading Account is a part of Profit and Loss Account. It is prepared to show the amount of gross profit or gross loss on account of purchasing the goods and selling them. If the sale proceeds are more than the cost of goods sold, gross profit is made. If the sale proceeds are less than the cost of the goods sold, gross loss is sustained. The format of trading account is as follows:

Form and Contents of a Trading account

Trading account of M/s. for the year ended

Dr

Cr

Particulars	Rs.	Rs.	Particulars	Rs.	Rs.
To Opening Stock		xx	By Sales	xx	
To Purchases	xx		Less: Sales Returns	<u>xx</u>	xx
Less: Purchase returns	<u>xx</u>	xx	By Closing stock		xx
To Wages		xx			
To Carriage		xx			
To Fuel		xx			
To Motive Power		xx			
To Octroi		xx			
To Import Duty		xx			
To Clearing Charges		xx			
To Dock Charges		xx			
To Stores consumed		xx			
To Royalty based on production		xx			
To Gross profit (Transferred to profit & loss a/c)		xx			
		<u>xxx</u>			<u>xxx</u>

2. Write about Manufacturing Account

A manufacturing unit usually prepares its final accounts in the form of a Manufacturing Account, a Trading Account, a Profit and Loss Account and a Balance Sheet at the end of a specified period. The purpose for which the Manufacturing Account is prepared is to ascertain the cost of production of the goods produced. The expenses relating to the factory will be transferred to this account. Here expenses are classified into two groups, viz., Direct or chargeable and Indirect or factory. Direct expenses constitute raw materials consumed plus all direct expenses. But indirect expenses include all expenses relating to the factory. The format of Manufacturing Account is as follows:

Proforma of Manufacturing account:

Manufacturing Account of Sri..... for the year ended

Dr

Cr

	Rs.	Rs.		Rs.	Rs.
To Opening Stock			By Closing stock		
Raw Materials	xx		Raw materials	xx	
Work-in-progress	<u>xx</u>	xx	Work-in-progress	<u>xx</u>	xx
To Purchase of Raw materials	xx		By Cost of production		xx
Less: Returns	<u>xx</u>	xx	(Transferred to Trading A/C)		
To Carriage inwards		xx			
To Productive wages		xx			
To Stores		xx			
To Motive Power		xx			
To Lighting & Heating		xx			
To Factory rent		xx			
To Factory insurance		xx			
To Cool & Coke		xx			
To Repairs to Factory		xx			
To Depreciation on Machinery		xx			
		<u>xxx</u>			<u>xxx</u>

3. Write about Profit and Loss Account

After preparation of a Trading Account the next step is to prepare the Profit and Loss Account. The aim of Profit and Loss Account is to ascertain the net profit or net loss for a particular period.

For earning net profit a businessman has to incur many more expenses in addition to the direct expenses. These expenses are deducted from gross profit and the resultant figure is net profit. Thus, "Net profit is the surplus remaining after charging against gross profit all expenses viz. office and administrative expenses, selling and distribution expenses, Financial expenses, maintenance expenses, depreciation and other provisions, properly attributable to the normal activities of the particular business". When such expenses are more than gross

profit the result is net loss and if gross profit exceeds these expenses, the result is net profit. The balance in the Profit and Loss Account i.e net profit or Net loss is transferred to the Proprietor's Capital Account. Thus, "Net Profit increases the proprietor capital while Net Loss decreases the proprietors capital.

PROFORMA OF PROFIT AND LOSS ACCOUNT:

Profit and Loss account of M/s. for the year ended

Dr

Cr

Particulars	Rs.	Rs.	Particulars	Rs.	Rs.
To Management Expenses:			By Gross Profit		xx
Office Salaries & Wages	xx		By Discount Received		xx
Office Rent & Taxes	xx		By Interest received		xx
Office Lighting	xx		By Interest on investments		xx
Office Insurance	xx		By Dividends received		xx
Printing & Stationery	xx		By Interest on Drawings		xx
Postage & Telegrams	xx		By Rent received		xx
Telephone	xx		By Commission received		xx
Legal Expenses	xx		By Profit on sale of assets		xx
Audit Fees	xx		By Bad debts recovered		xx
General Expenses	<u>xx</u>	xxx	By Interest on Bank Deposits		xx
To Selling & Distribution Expenses:			By Apprentice Premium received		xx
Godown Rent	xx		By Sundry Incomes		xx
Packing Expenses	xx				
Advertising	xx				
Agents Commission	xx				
Bad Debts	<u>xx</u>	xxx			
To Financial Expenses:					
Discount Allowed	xx				
Interest on capital	xx				
Interest on Loans	<u>xx</u>	xxx			
To Maintenance Expenses:					
Repairs to Buildings	xx				
Repairs to Machinery	xx				
Repairs to Furniture	<u>xx</u>	xx			
To Depreciation on Fixed Assets:					
On buildings	xx				
On Machinery	xx				
On Furniture	<u>xx</u>	xx			
To Net Profit (Transferred to Capital A/c)		xx			
		<u>xxx</u>			<u>xxx</u>

4. Write about Balance sheet

In the preparation of Final Accounts, preparation of Balance Sheet is the final stage. The preparation of Final Accounts begins with the Trial Balance. Trial Balance contains Personal, Real and Nominal Accounts. All nominal accounts are transferred to the Trading Account or Profit and Loss Account. Balance sheet represent either Personal Accounts or Real Accounts. A debit balance in a Personal Account or Real Account represents an asset. A credit balance in a Personal Account represents a liability. All such assets and liabilities are shown in the Balance Sheet

Thus, a Balance Sheet may be defined as a statement showing all the assets and liabilities of a business at a given date. Thus, by preparing a Balance sheet trader wants to know his true financial position at the end of each trading period.

Format of Balance Sheet

(Horizontal)

(Order of Liquidity)

Balance sheet of XYZ Co. as on March 31, 2024

Liabilities	Amount (Rs.)	Amount (Rs.)	Assets	Amount (Rs.)	Amount (Rs.)
Current Liabilities:			Current Assets:		
Creditors		xx	Cash in Hand		xx
Bills Payable		xx	Cash at Bank		xx
Bank Loan		xx	Debtors		xx
Outstanding expenses		xx	Bills Receivable		xx
Income received in advance		xx	Stock-in -trade		xx
			Outstanding Income		xx
Fixed Liabilities:		xx	Fixed Assets:		
Loan		xx	Furniture		xx
Mortgage Loan			Plant and Machinery		xx
			Buildings		xx
			Land		xx
Capital:			Goodwill		xx
X capital	xx				
Y capital	xx				
Z capital	<u>xx</u>				
	xxx				
Add: Net profit	<u>xx</u>				
	xxx				
Add: Interest on capital	<u>xx</u>				
	xxx				

Less: Drawings	<u>xx</u> xxx				
Less: Interest on drawings	<u>xx</u>	xxx			
		<u>xxx</u>			<u>xxx</u>

5.Adjusting entries and Closing entries.

Adjusting Entries:

There are certain incomes and expenses which are not recorded even at the closing date of accounts. If those incomes and expenses are not taken into consideration, correct profit or loss cannot be ascertained. That is why, in order to prepare the final accounts for a particular period, these incomes and expenses are to be adjusted since they affect profits or losses, assets and liabilities of a business. For instance, adjustment is required in respect of outstanding expenses, prepaid expenses, provision for bad debts, etc. Entries made for such adjustment are called Adjustment Entries. These entries are made in the Journal proper

Closing entries.

Closing entries are used at the end of the accounting year for closing off accounts relating to expenses and revenues. These accounts are closed by transferring their balances to Trading and Profit and Loss Account. Since records must not be made in the ledger without journal entries, closing entries are passed in the Journal proper first and then posted to the ledger.